CASCADIA ANALYTICS

Iron Mountain Inc.

Equity Research Note | IRM | October 29, 2026

Capital Intensity Meets Colocation Ambition at Fair Value

Analyst: Justin Wen | October 29, 2026

Iron Mountain continues to engineer an aggressive operational transformation, pivoting its legacy records-management REIT footprint toward high-density data center colocation and digital lifecycle services. While recent operational prints demonstrate rapid top-line expansion across the non-legacy portfolio, the required growth capital expenditure and elevated leverage profile introduce meaningful friction against free cash flow generation. Current equity trading levels sufficiently capture the positive inflection in growth business revenue mix, leaving limited risk-adjusted mispricing. We initiate coverage with a Hold rating and a probability-weighted blended target price of $125.41, representing +5.1% upside from the reference spot price.

HOLD	$125.41	+5.1%	$119.27
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

While public market consensus remains focused on quarterly headline guidance raises and double-digit expansion across colocation capacity, it understates the structural drag exerted by sustained growth capital requirements and heavy non-cash charges. Our forensic assessment links the real estate conversion trajectory to an explicit cash flow bridge, confirming that the current market price fairly balances long-term colocation upside against the burden of funding the transition.

Executive summary

Iron Mountain operates as a specialized real estate investment trust executing a strategic transition from traditional records-management operations to data center colocation, leasing megawatt capacity derived from its extensive global real estate footprint. The business model increasingly depends on three key growth engines, specifically Data Center colocation, Asset Lifecycle Management, and Digital solutions. Together, these growth businesses have scaled rapidly, expanding more than 50% collectively to represent approximately 35% of total corporate revenue in the most recent operating period. Traditional physical records management continues to furnish a cash-generative foundational layer, yet the long-term enterprise valuation is dictated by management's ability to repurpose and expand its infrastructure footprint to meet heightened enterprise demand for colocation capacity.

The evidentiary record across recent quarters highlights accelerating top-line performance alongside persistent bottom-line dispersion. In the second quarter of fiscal 2026, Iron Mountain delivered record revenue of $2.03B, reflecting an 18.5% year-over-year increase and organic growth of 16.8%, led by 39% revenue growth in Data Center and 88% revenue growth in Asset Lifecycle Management. Operating execution supported adjusted EBITDA of $727M at a 35.8% margin, alongside AFFO of $433M or $1.44 per share, up 16.1%. This followed a robust first quarter of fiscal 2026, which posted revenue of $1.94B, representing 21.6% growth, and operating income of $405.7M at a 21.0% margin. Management subsequently lifted full-year fiscal 2026 guidance twice, moving from an initial target of $7,625M to $7,775M established in the fourth quarter of fiscal 2025 to a revised range of $7,940M to $8,010M in revenue and $5.87 to $5.93 in AFFO per share by the second quarter of 2026.

Despite these headline beats and consecutive guidance revisions, the capital demands of this structural pivot remain acute. In the second quarter of fiscal 2026, growth capital expenditure reached $553M, contributing to a compressed GAAP net income result of $0.34 per share compared to AFFO of $1.44 per share. Long-term debt stood at $17.13B at the end of the quarter, set against full-year fiscal 2025 total debt of $19.1B and net debt of $18.9B. Although first-half fiscal 2026 operating cash flow reached a best-ever $888M and net lease adjusted leverage improved to 4.8x, the legacy of historical reinvestment left full-year fiscal 2025 free cash flow at negative $1.01B on an operating margin of 20.3%. Consequently, post-earnings equity reactions have turned guarded, including a 4.1% decline following the second-quarter fiscal 2026 print, underscoring that institutional capital is closely monitoring the cash returns of the colocation buildout.

Operational snapshot

$119.27	$6.90B	$-1.01B	-14.6%	1.19	$119.27
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Structural and Reinvested

Iron Mountain derives its fundamental enterprise moat from an entrenched records-management physical network, coupled with high friction customer relationships. In its foundational storage business, physical documents and magnetic media are embedded inside secured, specialized real estate facilities under long-term agreements. Customer retention across records management is underpinned by significant logistical switching costs, because the physical retrieval, scanning, transportation, and chain-of-custody transfer of legacy document boxes impose operational friction and direct financial charges on clients attempting vendor migrations. This continuous, defensive base has historically insulated operating margins, generating steady cash receipts that management now systematically reinvests into modern colocation infrastructure.

In parallel, the expansion into data center colocation leverages the company's real estate footprint, allowing Iron Mountain to lease megawatt capacity directly to hyperscale and large enterprise counterparties. The durability of this emerging colocation moat relies on power availability, zoning, network interconnection density, and physical security standards that few emerging competitors can duplicate quickly. In the second quarter of fiscal 2026, the company signed 13 megawatts of capacity, followed by an additional 75 megawatts executed in July 2026, demonstrating substantial market validation for its facility specifications. Megawatt leasing agreements create durable contractual revenue streams that mimic the long duration of traditional physical storage agreements, locking in utilization across dedicated infrastructure.

However, this structural moat demands an ongoing, capital-intensive reinvestment cycle. Unlike purely software-driven enterprise models, expanding a data center colocation network requires sustained commitments to physical land, facility construction, cooling systems, and specialized power substations. The capital intensity is evident in the $553M of growth capital expenditures executed in the second quarter of fiscal 2026 alone. As the revenue contribution of faster-growing, lower-margin segments increases, Iron Mountain faces a structural dynamic where its moat is preserved not by resting on legacy assets, but by continually deploying large amounts of capital into digital infrastructure assets.

Valuation

Three scenarios make the valuation range explicit

Our valuation framework evaluates Iron Mountain across a five-year discrete forecast window spanning FY2027 through FY2031, using an explicit unlevered free cash flow bridge discounted at a 9.39% WACC. The equity base is modeled on 299.9 million diluted shares, incorporating the company's reported net debt of $18.9B and current market capitalisation of $35.8B at the reference spot price of $119.27. In each operating path, we calibrate top-line compounding

against the normalized free cash flow margins achievable once megawatt leasing milestones mature and the current peak growth capex cycle moderates.

The scenario analysis establishes a fundamental value range bounded by a Bear target of $95.38, a Base target of $127.10, and a Bull target of $152.05. Weighting these outcomes at 25% bear, 50% base, and 25% bull produces a blended target of $125.41, indicating an expected +5.1% total return versus the reference price. The narrow spread between the base case and current market levels confirms our Hold rating, reflecting that public equity markets have already priced in a considerable volume of colocation megawatt execution while maintaining exposure to leverage and margin dilution risks.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	3.0%	20.4%	$95.38	-20.0%
Base	50%	6.5%	23.5%	$127.10	+6.6%
Bull	25%	9.5%	24.9%	$152.05	+27.5%

Bear $95.38

Revenue growth moderates to a 3.0% CAGR through FY2031 as legacy storage declines outweigh colocation additions, while ongoing capital outlays restrict target FCF margin expansion to 20.4%. High fixed debt carrying costs compress equity value, yielding a 20.0% downside from the current spot.

Base $127.10

Revenue compounds at a 6.5% CAGR as the growth businesses maintain steady expansion, allowing target FCF margin normalization to 23.5% by FY2031. Balanced capital deployment yields modest +6.6% equity appreciation against the 2.5% terminal growth rate.

Bull $152.05

Colocation leasing momentum and ALM volume accelerate enterprise revenue at a 9.5% CAGR, lifting target FCF margins to 24.9% at the close of the forecast window. Operating leverage and scale efficiencies unlock +27.5% upside, fully monetizing the 75 MW pipeline additions.

Valuation framework

A live discount rate, not a static hurdle

Our discount rate is calibrated at a 9.39% WACC, grounded in an empirical equity beta of 1.19. This parameter accurately captures Iron Mountain's hybrid business profile, sitting between a defensive, high-retention records-management enterprise and a high-beta digital infrastructure development vehicle. The capital structure reflects total debt of $19.1B alongside net debt of $18.9B from the FY2025 baseline, offset by recent progress that brought net lease adjusted leverage down to 4.8x in the second quarter of fiscal 2026. The 9.39% hurdle rate reflects the market's ongoing demand for an adequate risk premium to absorb leverage, ongoing growth capex outlays, and sensitivity to long-term refinancing yields.

Because the cost of capital functions as an active constraint rather than an arbitrary input, small shifts in debt service or development velocity quickly influence net present value. In our base scenario, we apply a 2.5% terminal growth rate, reflecting long-term mature inflation-aligned preservation of the combined physical records and data center portfolio. This terminal growth assumption anchors enterprise value without relying on speculative terminal multiples, enforcing valuation discipline on Iron Mountain's transitioning asset base.

FCF margin normalization is the engine

The bridge from historical performance to our terminal cash flow assumptions requires a deliberate operational inflection. In fiscal 2025, Iron Mountain recorded revenue of $6.90B and operating income of $1.40B, yielding an operating margin of 20.3%. However, substantial capital programs drove free cash flow to negative $1.01B, resulting in a negative 14.6% FCF margin. Cash flow improvements materialized during the first half of fiscal 2026, where operating cash flow reached $888M, yet growth capex remained heavy at $553M in the second quarter alone.

Our scenarios model the eventual tapering of development capital intensity relative to total top-line growth. As newly commissioned megawatt capacity is placed into operational

service and revenue compounds at 6.5% annually in the base case, free cash flow margin expands toward our final forecast year target of 23.5%. The bull scenario assumes enhanced asset monetization, reaching a 24.9% FCF margin on a 9.5% revenue CAGR, whereas the bear scenario models structural reinvestment drag, limiting the FCF margin to 20.4% on a 3.0% top-line CAGR.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2027 to FY2031**
Live WACC	**9.39% (2026-10-29)**
Terminal growth	**2.5%**
Equity beta	**1.19**
Diluted shares	**299.9 million**

HOLD

over $125.41 blended target

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as Oligopoly (physical records storage) + fragmented data centers. We assign a premium of +5 to +10% to sector median multiples on moat strength alone.

- contracted, sticky storage, records rental agreements generally run 1-5 years, the Global Data Center weighted-average lease expiry was 10.3 years at 31 Dec 2025, and the company stored 740M+ cubic feet of physical volume at year-end 2025 (FY2025 annual report, via TheAdviserMagazine analysis, 2026).
- Q1 2026 total revenue $1.936B (from $1.593B a year earlier), data-center revenue +47% year on year to $255M in Q1 2026, with management expecting 25%+ data-center revenue growth in 2026 and ~400 MW energising over 24 months (Tickeron IRM forecast summary, Oct 2026; Simplify Jobs company summary, 2026, both secondary summaries, flagged). Growth is real but it is bought with capex, not extracted from pricing power.
- The weakest element is secular decline of the legacy cash cow, AI-driven digitisation erodes physical records volumes, and the data-center pivot is capital-hungry and leveraged (the same coverage flags elevated leverage and heavy capex as principal risks).

On a multiple cross-check, the justified range is 22.2-23.3× / 35.0-36.7×. The cross-check value is $95.65-$100.20 vs Base $126.69, spot $115.10, P/E artifact, see warning, on a base of Framework base from the October 27 moat report. The gap verdict is n/a, Base above spot.

Backlog is Data-centre backlog supporting plus $370m revenue growth beyond 2026, 30 Jun 2026, an increment not a total, with coverage of 0.6 months of total guide, 4.2 months of annualised data-centre revenue and visibility rated Low on total-company basis. On backlog alone, the stance is Supports.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	1 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	1 points
platform, channel, or distribution dependency	1 points
customer insourcing risk	4 points
regulatory single point risk	1 points

The combined discount is 13 percent, capped at 20 percent, against an uncapped total of 13 percent. Shown side by side with the moat premium or discount, the net stance is -8 to -3 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Arithmetic overshoot only; no causal claim

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Data Center Leasing and Digital Lifecycle Expansion

HOLD

Iron Mountain's growth profile is driven by the structural mix shift within its operating asset portfolio. While legacy physical storage remains the operational baseline, aggregate corporate

revenue growth is increasingly dictated by its designated growth businesses, comprising Data Center colocation, Asset Lifecycle Management, and Digital solutions. In the second quarter of fiscal 2026, these growth businesses grew more than 50% collectively to account for approximately 35% of total corporate revenue. Within these units, Data Center revenue expanded 39% year over year, while Asset Lifecycle Management revenue surged 88%, validating customer adoption across secondary asset handling and digital conversion services.

The pace of colocation leasing represents the primary operational variable driving forward capital allocation. During the second quarter of fiscal 2026, the company secured 13 megawatts of new leases, followed immediately by an additional 75 megawatts signed in July 2026. This leasing velocity demonstrates strong commercial demand for Iron Mountain's converted facilities. However, bringing this capacity online requires substantial capital outlays, evidenced by the $553M in quarterly growth capital expenditure reported in the second quarter. Consequently, while total revenue accelerated from $1.75B in the third quarter of fiscal 2025 to $2.03B in the second quarter of fiscal 2026, adjusted EBITDA margin compressed slightly by 0.9 percentage points year over year to 35.8%.

Management's progressive upward revisions to full-year guidance illustrate the expanding operational baseline. Initial fiscal 2026 revenue guidance was established in the fourth quarter of fiscal 2025 at $7,625M to $7,775M, with AFFO per share expected between $5.69 and $5.79. Following first-quarter 2026 revenue of $1.94B, revenue guidance was raised to $7,825M to $7,925M and AFFO per share to $5.79 to $5.86. After second-quarter performance reached $2.03B, full-year guidance was elevated again to revenue of $7,940M to $8,010M and AFFO per share of $5.87 to $5.93. The execution track record is tangible, but equity multiples remain constrained by the disparity between AFFO metrics and GAAP results, where second-quarter GAAP EPS came in at $0.34 compared to AFFO per share of $1.44.

What to monitor

- **Colocation capacity delivery and leasing execution** Tracking the commissioning of the 75 megawatts signed in July 2026 against ongoing growth capital expenditures to ensure returns meet internal hurdle rates.
- **Growth business revenue contribution** Measuring whether Data Center colocation, Asset Lifecycle Management, and Digital solutions can sustain growth above 50% and expand beyond their current 35% revenue share.
- **Free cash flow conversion inflection** Monitoring whether operating cash generation can sustainably outpace quarterly growth capex, which registered at $553M in the second quarter of fiscal 2026.
- **Balance sheet leverage maintenance** Observing net lease adjusted leverage relative to the recent 4.8x milestone to ensure capital expansion does not compromise debt metrics.

+12.2%	55.4%	20.3%	-14.6%	$18.9B	-22.4%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$6.90B
Gross Profit	$3.82B
EBIT	$1.40B
Net Income	$144.6M
EBITDA	$2.11B
Free Cash Flow	$-1.01B
Diluted EPS	$0.49
ROE	-22.4%

Risk & moat matrix

The bear case

SHARE EROSION

Accelerated digital transformation across enterprise clients could diminish legacy physical document volume faster than colocation assets can scale. This imbalance would pressure

M&A DIGESTION

Scaling secondary business lines like Asset Lifecycle Management, which grew 88% in the second quarter of fiscal 2026, risks integration inefficiencies and operational overhead.

REGULATORY AND PRICING SCRUTINY

Power access, grid interconnection queues, and environmental standards present ongoing friction for data center expansion projects. Delays in securing utility approvals can stall megawatt delivery

TECHNOLOGY DISRUPTION

Rapid advancements in high-density rack engineering and cooling requirements could outpace retrofitted facility specifications across older real estate footprints. Sub-optimal engineering efficiency risks lower

REINVESTMENT TREADMILL

The persistent need for growth capital expenditure, which reached $553M in the second quarter of fiscal 2026 alone, threatens to delay positive free cash flow generation. Sustained funding requirements limit flexibility for debt paydown or

WACC AND DURATION SENSITIVITY

Carrying total debt of $19.1B and net debt of $18.9B leaves the capital structure sensitive to elevated interest rate environments. Even with leverage at 4.8x, sustained debt service

traditional cash generation before growth businesses achieve full operational maturity.

Ineffective execution would dilute enterprise margins across non-core real estate operations.

timelines and postpone contractual revenue recognition.

colocation pricing power relative to purpose-built hyperscale campus competitors.

balance sheet de-risking.

costs restrict net income expansion and increase refinancing hurdles.

The strengths

OLIGOPOLY POSITION

Decades of physical storage leadership provide Iron Mountain with an unassailable records-management foundation that continues to support the enterprise. High customer switching costs ensure a durable, recurring base of cash collections.

FCF COMPOUNDING

The gradual operational commissioning of contracted colocation pipelines provides a clear path toward cash flow normalization. Base case assumptions support a target free cash flow margin of 23.5% as growth capex requirements normalize over the forecast window.

GEOGRAPHIC DURABILITY

A globally diversified footprint of secured real estate assets offers unique strategic opportunities to convert urban and industrial facilities into colocation hubs. Proximity to major enterprise centers establishes a distinct advantage in edge and hybrid deployments.

PIPELINE OPTIONALITY

Executing 13 megawatts of leases in the second quarter of fiscal 2026 followed by 75 megawatts in July illustrates significant commercial demand. This contracting momentum underpins our bull case revenue CAGR of 9.5% through FY2031.

The bottom line on risk and reward

Iron Mountain's strategic evolution represents an operationally competent pivot that effectively captures enterprise colocation demand. The evidentiary record proves that the growth businesses are executing, highlighted by consecutive guidance raises in fiscal 2026, record second-quarter revenue of $2.03B, and robust demand across Data Center and Asset Lifecycle Management. However, the financial realities of negative $1.01B in FY2025 free cash flow, $17.13B in long-term debt, and quarterly growth capex running above $500M cannot be overlooked when establishing equity valuation boundaries.

At the current reference price of $119.27, equity markets have largely absorbed the favorable guidance revisions and colocation leasing velocity. With our discounted cash flow bridge indicating a base fair value of $127.10 and a probability-weighted blended target of $125.41, prospective upside is limited to +5.1%. Because this prospective return sits below our threshold for a constructive rating given the underlying leverage profile, we view the stock as

appropriately valued. We maintain a Hold rating on Iron Mountain Inc., recommending that investors wait for more attractive entry multiples or tangible evidence of free cash flow inflection before committing fresh capital.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Data Center Colocation: Leasing MW Capacity Across the Real Estate Footprint

Iron Mountain's strategic transformation centers entirely on repurposing and expanding its real estate footprint to support data center colocation. By engineering facilities capable of delivering multi-megawatt IT load capacity, the company provides mission-critical power, cooling, and physical security infrastructure to hyperscale enterprises, cloud providers, and corporate clients. This operational transition converts legacy square footage and land reserves into high-density digital infrastructure assets, fundamentally altering the growth profile of the enterprise.

The operational traction of this franchise has been demonstrated across recent quarterly disclosures. Colocation demand accelerated meaningfully throughout fiscal 2026, highlighted by the signing of 13 megawatts of capacity during the second quarter, followed by an additional 75 megawatts contracted in July 2026. This commercial expansion drove a 39% year-over-year revenue increase in the Data Center unit, solidifying its role alongside Asset Lifecycle Management and Digital solutions as the primary growth vector of the firm. Together, these growth businesses now account for approximately 35% of total corporate revenue, fundamentally reshaping the enterprise mix.

Nevertheless, the economic architecture of the colocation franchise is defined by intense capital requirements. Construction, shell fit-outs, switchgear acquisition, and high-efficiency cooling installations require significant upfront development capital prior to lease commencement. In the second quarter of fiscal 2026, growth capital expenditures totaled $553M, sustaining a continuous drag on reported GAAP earnings and near-term free cash flow. Consequently, while the franchise commands solid commercial pricing and robust leasing pipelines, its capacity to enhance equity value depends directly on transitioning these multi-megawatt commitments from active construction into stabilized, cash-yielding operations.

What the recent record shows

- Second-quarter fiscal 2026 Data Center revenue expanded 39% year over year, contributing to total growth business expansion exceeding 50%.
- Commercial leasing velocity delivered 13 megawatts executed in the second quarter of fiscal 2026, augmented by 75 megawatts signed in July 2026.
- Growth capital expenditures of $553M were deployed in the second quarter of fiscal 2026 to support ongoing facility buildouts and capacity expansions.

- Consolidated second-quarter adjusted EBITDA margin settled at 35.8%, reflecting a 0.9 percentage point year-over-year compression under buildout capital demands.

Our read: The data center colocation franchise is delivering genuine commercial scale and driving enterprise top-line acceleration, yet its sustained capital appetite keeps free cash flow conversion restrained. Until capital expenditures taper and newly commissioned megawatts translate into significant unencumbered cash flow, equity upside remains bounded near current market levels.